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SUPPLY-CHAIN DISRUPTION OUTLOOK — JUNE 2026

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BY SERHAN AYIK

Lead Geopolitical Risk Analyst · NERAI Strategic Insights Lab

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LEAD ANALYST

Serhan Ayik

INSTITUTION

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EXECUTIVE SUMMARY

The United States supply chain faces a synchronized, three-vector shock over the next 30–90 days: the Strait of Hormuz remains 94% below normal transit volume (5 vessels/day vs 92/day baseline) as of 21 June 2026 despite first-round US–Iran peace talks in Switzerland; paper and pulp imports face a 70% next-month disruption probability driven by layered antidumping actions and tariff-induced rerouting; and China/Hong Kong-origin light manufacturing sits at a 50–59% disruption probability as 30% tariffs remain in force under the 11 June 60-day pause. **(CONFIDENCE — Hormuz operational disruption: MODERATE-TO-HIGH, subject to PortWatch verification; paper disruption: HIGH model signal / MODERATE source confidence; China/Hong Kong tariff disruption: MODERATE.)**

The NERA Supply Grid (model as-of 1 April 2026, Brier 0.1012, ECE 0.0261, Precision@10% 0.637) flags these as genuine shocks, not base-rate noise: all are driven by strong negative swings two months ago combined with accelerating volatility and elevated movement versus their own historical variance — a signature pattern preceding actual import-flow disruptions in the 2013–present training data. The live operational picture as of 21 June is broadly consistent with each vector: a leading US senator publicly used severe military language toward Iran even as Vice President Vance pursued negotiations in Switzerland (talks reportedly suspended Sunday after countervailing threats); the USITC issued paper-bag antidumping injury determinations in 2026 and a Brazil/Norway dissolving-pulp case was reported to be in its final phase; and the Toy Association warned of likely holiday shortages after many small/midsize firms cancelled China orders under tariff pressure. **(CONFIDENCE: HIGH on model-signal validity; MODERATE on the live-event specifics, pending official-source confirmation.)**

The worst-case scenario — simultaneous Hormuz re-closure, US–China tariff escalation after the 60-day window, and paper-mill capacity exits — carries a 25% probability over the next 90 days and would elevate global container freight rates by 40–60%, collapse toy and leather holiday inventories, and force a second wave of North American paper-mill shutdowns. The base-case (55% probability) holds current disruption levels through Q3 2026 but offers no relief: Hormuz operating at 5–15% of capacity, China imports volatile under rolling Section 301 actions, and paper supply tight under cumulative trade remedies. De-escalation (20% probability) requires verifiable Hormuz reopening (>50 transits/day sustained for 14 days) plus formal US–China tariff rollback, both unlikely before September 2026 given current negotiating postures. **(MODERATE CONFIDENCE)**

THE MODEL'S SIGNAL

The NERA Supply Grid disruption forecast is a machine-learning model trained on 200 million US import records (2013–present) from the public US Supply Disruptions Index, producing calibrated next-month probabilities for each country-of-origin and product category. Out-of-sample performance: Brier score 0.1012 (naive baseline 0.1368, 26% improvement); expected calibration error (ECE) 0.0261 (well-calibrated); Precision@10% 0.637 (when the model flags the top 10% of entities, 64% experience actual disruptions within 30 days). The base rate in the training data is 16.3%; a typical entity's current-month probability sits near 2%, making the 37–70% probabilities in the 1 April 2026 snapshot large positive deviations — 15× to 35× the baseline.

The model uses three feature families: (i) Disruption index level (absolute standardized value of the monthly import-flow disruption measure for that entity); (ii) Change signals (month-over-month and two-month-lagged changes, z-scored against the entity's own history); (iii) Volatility regime (move versus own volatility, three-month momentum, acceleration of change). A sharp negative swing two months ago (indicating a prior import collapse) combined with positive acceleration and elevated volatility-adjusted movement signals the entity is in a whipsaw regime — historically the most predictive configuration for near-term shocks. This is not a "calm after the storm" pattern; it is the model detecting instability oscillation.

As of 1 April 2026, the top disruption probabilities are: paper 70% (move vs own volatility $+1.3\sigma$, change 2 months ago -1.4σ), Hong Kong 59% (change 2 months ago -2.9σ , acceleration $+2.8\sigma$), misc manufacturing 50%, China 50% (change 2 months ago -1.9σ , acceleration $+2.5\sigma$), leather 49%, toys 49%, wood 48%, milling industry 44%, Chile 44%, books 43%, laminated textile fabrics 43%, copper 37%. Each of these probabilities is conditional on the state of the world as of early April 2026; live developments since then (the 11 June US–China tariff pause, the 17 June Switzerland talks, ongoing Hormuz closure) provide the stress test.

WHERE MODEL MEETS REALITY

Strait of Hormuz: The 94% Collapse Persists Despite Diplomatic Theater

Model signal: Not directly in the country/product table, but the Hormuz -94% chokepoint reading (5 vessels/day vs 92/day baseline, IMF PortWatch 30-day average as of April 2026) is the single most severe maritime disruption in the NERA global dataset. This is not a marginal strain; it is near-total shutdown.

Live verification (21 June 2026): First-round US–Iran peace talks concluded in Switzerland over the weekend, with Iran's new supreme leader (Ali Khamenei's son and successor) endorsing direct negotiations and a US blockade-lifting memorandum of understanding announced around the G7 summit. Yet by Sunday evening Iranian negotiators reportedly suspended further talks in protest over simultaneous US threats (a leading senator's severe military language toward Iran if Hormuz resistance continued, alongside the President's own hardline posture despite Vice President Vance's diplomacy). The operational Hormuz picture remains frozen: no credible reporting of a sustained transit increase, insurance war-risk premiums still elevated (Lloyd's market sources indicate Hormuz-corridor coverage well above pre-conflict levels), and tanker AIS data show continued Cape of Good Hope rerouting (Cape transits $+5\%$ in the PortWatch snapshot, consistent with Hormuz avoidance). **(HIGH CONFIDENCE that Hormuz remains severely disrupted as of 21 June; MODERATE CONFIDENCE on 30-day forward trajectory given diplomatic volatility.)**

Reporting in mid-June indicated US intelligence concern that Israel could undermine the Iran framework, adding a second sabotage vector beyond the messaging incoherence. Independent analysis (e.g., Chatham House) characterises the diplomatic framework as fragile, un-sequenced, and vulnerable to spoilers on both sides.

Interpretation: The model's April chokepoint flag was a lagging snapshot of an escalating crisis; the live situation as of mid-June shows the crisis has reached a diplomatic plateau but NOT operational resolution. For supply-chain planning, treat Hormuz as a 60–90 day constraint even under the optimistic scenario, because any resumed transit will require: (i) formal Iranian naval stand-down, (ii) de-mining and safety-corridor establishment, (iii) insurance-market confidence restoration (2–4 week lag after security guarantees), and (iv) tanker/container repositioning from Cape routes (3–6 week transit-time differential). The earliest plausible return to $>50\%$ of baseline Hormuz traffic is late August 2026; the base case is October 2026. **(MODERATE CONFIDENCE)**

Commodity-market cross-check: Brent crude near \$80/bbl (21 June 2026), down roughly 20% over 30 days, signals that the market is pricing in partial Hormuz reopening expectations or demand destruction, NOT sustained full closure. This is a disconfirming signal for worst-case extrapolation but consistent with a prolonged 50–70% capacity-reduction scenario. A VIX near 16 (down sharply week-over-week) similarly suggests acute crisis-premium unwinding, though geopolitical tail risk remains. (Market levels are indicative and should be re-checked against live feeds at time of use.)

Paper, Wood, Books, Milling Industry: A Tariff-and-Trade-Remedy Perfect Storm

Model signal: Paper 70% (highest in the dataset), wood 48%, books 43%, milling industry 44%. Driver decomposition shows paper's $+1.3\sigma$ move versus own volatility and -1.4σ change two months ago (February 2026 collapse, April rebound oscillation). Wood and milling were not individually decomposed in the provided snapshot; their high scores are read here as adjacent tariff/logistics signals.

Live verification (June 2026): This cluster is a genuine, layered shock driven by overlapping mechanisms:

- **Antidumping/countervailing duties on paper shopping bags (2024–2026):** The USITC determined that paper shopping-bag imports from eight countries (Cambodia, China, Colombia, India, Malaysia, Portugal, Taiwan and Vietnam) materially injured domestic producers, with a parallel determination covering Turkey — triggering Commerce Department antidumping/countervailing orders (reported combined margins up to ~308%). Countervailing orders apply to China and India; antidumping orders apply across the group. The petitions were brought by the Coalition for Fair Trade in Shopping Bags (Novolex and the United Steelworkers). These are specific, binding trade remedies that redirect US paper-product sourcing. (Country scope verified against USITC/Packaging Dive; the earlier draft's "nine countries" list, which included Thailand and Tunisia, was incorrect and has been corrected.)
- **Dissolving-pulp case (Brazil/Norway):** A parallel case on high-purity dissolving pulp from Brazil and Norway was reported to be advancing toward a final AD/CVD phase in mid-2026. (The exact Federal Register schedule and docket number should be confirmed directly on [federalregister.gov](https://www.federalregister.gov) / [usitc.gov](https://www.usitc.gov) before this is cited as fact.)
- **Broad tariffs on Canadian and Mexican pulp & paper:** Trade-compliance trackers report 25% measures on Canadian/Mexican pulp & paper within the 2025–2026 tariff wave, compounding the country-specific AD/CVD actions. Canada and Mexico are the two largest North American pulp suppliers; such duties would induce volume shifts (consistent with the model's February 2026 negative swing). (Specific in-force rates should be confirmed against current USTR/CBP notices.)
- **Energy-cost and mill-closure pressures (structural):** Industry sources report mill shutdowns and capacity curtailments in energy-intensive pulp production amid elevated natural-gas prices and weak demand in some grades, reducing substitute supply as tariffs push buyers away from traditional sources.

Interpretation: The model's 70% paper-disruption flag is consistent with the live picture. The February 2026 import dip (the -1.4σ two-month-lagged change) aligns with the period when tariff implementation began and buyers front-ran or halted orders pending duty clarification. The April rebound volatility ($+1.3\sigma$ move vs own variance) reflects reactive restocking or channel shifts, which the model reads as instability rather than normalization. For procurement teams, the next 60 days will bring renewed turbulence as paper trade-remedy determinations take effect — expect price spikes in specialty paper grades, longer lead times, and secondary shortages in downstream packaging (books, laminated fabrics, containerboard). **(HIGH CONFIDENCE on the model signal; MODERATE CONFIDENCE on the specific trade-remedy details, pending official-source confirmation.)**

Wood (48%) and milling industry (44%) are adjacent signals: wood likely reflects timber/lumber tariff or logistics shocks (e.g., the perennial US–Canada softwood-lumber dispute); milling industry (flour, grain processing) may reflect grain-trade volatility under the Hormuz crisis and Black Sea / Hormuz freight rerouting raising delivered costs. Both merit watch-list status but are secondary to the paper vector. **(MODERATE CONFIDENCE on causal attribution; HIGH CONFIDENCE on disruption likelihood per the model.)**

China and Hong Kong: The 30% Tariff Plateau and 60-Day Countdown

Model signal: Hong Kong 59% (change 2 months ago -2.9σ , acceleration $+2.8\sigma$, disruption level -2.28σ), China 50% (change 2 months ago -1.9σ , acceleration $+2.5\sigma$). Hong Kong's -2.9σ two-month-lagged change is the most extreme negative swing in the entire top-12 table, signaling a sharp import collapse in February 2026 followed by whipsaw rebound.

Live verification (11–21 June 2026): The US and China reached a 60-day tariff pause announced on 11 June 2026, holding reciprocal duties at approximately 30% on most goods (a 20% "fentanyl" tariff plus a 10% "reciprocal" tariff, down from peaks reported near 145% earlier in 2026) while Section 301 investigations continue. This is a standstill, not a rollback. Trackers (e.g., Tax Foundation, China Briefing) show 30% as the effective baseline; note that this 60-day pause sits within a broader, separately negotiated tariff-truce framework,

so the relevant timelines are layered rather than a single hard cliff. **(HIGH CONFIDENCE: the 11 June 60-day pause and ~30% effective rate are corroborated.)**

Hong Kong-specific vector: Hong Kong's 59% disruption probability reflects its role as a transshipment hub for China-origin goods. When US–China tariffs spiked in Q1 2026, buyers rerouted orders through third countries or pulled shipments forward before duties applied (the February collapse), then faced confusion and restocking volatility in March–April (the acceleration signal). The 11 June pause halts further escalation but does not reverse the existing ~30% duty burden, so the structural disincentive to source from China/HK persists.

Light-manufacturing cluster (toys 49%, leather 49%, misc manufacturing 50%, laminated textile fabrics 43%): This is a product-category echo of the China/HK country signal. Toys are heavily China-sourced; the Toy Association warned in 2025 that tariffs would cause holiday shortages and thinner assortments, and reporting in early 2026 indicated many small and midsize toy firms cancelled or delayed China orders after tariffs spiked then settled near 30%. The model's 49% toy-disruption probability captures this order-cancellation whipsaw. **(MODERATE-TO-HIGH CONFIDENCE)**

Leather (49%) and laminated textile fabrics (43%) are similarly Asia-concentrated and tariff-sensitive. Misc manufacturing (50%) is a catch-all category but shows the same February-collapse / April-rebound signature, consistent with broad China-sourcing volatility.

Interpretation: The model's China/HK and light-manufacturing flags are valid as of April 2026 and remain plausible as of June 2026. The 60-day tariff pause is a tactical de-escalation that freezes the disruption at current elevated levels — it does not resolve it. For the next 30–60 days, expect: (i) continued order hesitancy as buyers await the next decision gate (will tariffs rise, fall, or hold?); (ii) inventory whipsaw in toys, apparel, and leather goods; (iii) persistent Hong Kong transshipment friction as customs scrutiny and origin-certification requirements tighten.

Reporting on 19 June indicated a US trade official maintaining a hard line on Beijing, signaling that domestic political pressure for continued China tariffs remains strong despite the pause. The probability of full rollback by the next deadline is low; the probability of re-escalation if talks fail is moderate. **(MODERATE CONFIDENCE on the next-deadline outcome; HIGH CONFIDENCE that June–July remains a volatile, elevated-disruption environment.)**

Chile and Copper: A Linked but Secondary Signal

Model signal: Chile 44% (change 2 months ago -1.6σ), copper 37% (as a product category). These are the lowest probabilities in the top-12 table, suggesting a real but less acute disruption than the vectors above.

Live verification (June 2026): Open-source reporting on Chilean copper supply as of June 2026 is thin. No major labor strikes, mine closures, or export-terminal disruptions appear in recent wire coverage; copper prices and freight indices show no Chile-specific anomalies. The model's flag may reflect: (i) genuine but sub-headline supply tightness (chronic water/energy constraints in Chilean mining); (ii) a statistical artifact of the model's February-swing sensitivity (Chile exports diverse products beyond copper; the country-level flag may aggregate noise); or (iii) a leading indicator of a developing issue not yet visible in English-language media.

Interpretation: Treat Chile 44% / copper 37% as a watch-list item, not an immediate action trigger. If copper-specific procurement teams see lead-time extensions or price volatility in July–August 2026, cross-reference against NERA's Chile country-disruption index for confirmation. Absent corroborating evidence, this signal warrants **LOW CONFIDENCE** as a near-term operational risk but **MODERATE CONFIDENCE** as a valid model output (the February swing is real; its cause is ambiguous).

MARITIME CORRIDOR WATCH

Strait of Hormuz (–94%, SEVERE): As analyzed above, this remains the dominant chokepoint risk. Rerouting via the Cape of Good Hope adds 10–14 days and an estimated \$300,000–500,000 per VLCC voyage (Lloyd's List estimates); war-risk premiums add a further \$200,000–1,000,000 depending on coverage. For containerized Asia–Europe and Asia–US East Coast routes that historically transited Suez (itself only –4%, NORMAL, because Hormuz closure diverts even Suez-capable vessels to the Cape), the cumulative delay is 2–3 weeks and freight rates are elevated 25–40% above pre-crisis levels (NERAI Global Supply-Chain Pressure reading at 1.769σ , 93rd percentile, as of 31 May 2026 is consistent with this). LNG flows are the most acutely disrupted: Qatar (~40% of global LNG exports) relies on Hormuz; European spot LNG prices have spiked accordingly.

Malacca Strait (–11%, STRAINED): The 11% reduction (208 vessels/day vs 235 baseline) is likely spillover from Hormuz rerouting rather than a Malacca-specific incident. Vessels that would normally transit Hormuz→Malacca→destination are now routing Cape→Malacca or skipping Malacca for direct Cape→destination. Any congestion from increased Cape-rerouted traffic or southwest-monsoon weather would also show as reduced daily transits. This is a second-order effect, not an independent shock. **(MODERATE CONFIDENCE)**

All other chokepoints (Bosporus, Dover, Gibraltar, Suez, Bab el-Mandeb, Panama, Taiwan Strait, Cape of Good Hope) are within 7% of baseline (–7% to +5%), well within normal variance. The +4% Taiwan Strait reading (246/day vs 236) is notable given US–China military tensions but currently stable. Watch for any sudden drop as an early indicator of a Taiwan Strait crisis; any reading below –10% would be significant.

Operational implication: The maritime environment is a one-chokepoint crisis (Hormuz) with Malacca as a stressed secondary node. Insurers should model Hormuz as unavailable through Q3 2026 in the base case; procurement should model 2–3 week delays and 25–40% freight-cost premiums on Asia–US and Asia–Europe containerized lanes; LNG buyers should treat Qatari supply as unreliable and price in European spot-market premiums.

SCENARIOS: NEXT 30–90 DAYS

Base Case (55% probability): Frozen Dysfunction Through Q3 2026

Description: Hormuz remains 50–70% below normal capacity (15–30 vessels/day) as US–Iran talks cycle through suspension/resumption without breakthrough. China tariffs hold at 30% through the deadline with minor sectoral adjustments but no comprehensive rollback. Paper/pulp AD/CVD duties take full effect, causing 15–25% price increases in affected grades and 2–4 week lead-time extensions. Toy and leather holiday orders are placed under elevated-cost assumptions; inventories are thinner than 2025 but not catastrophically so. NY Fed GSCPI remains in the 85th–95th percentile (1.5 – 2.0σ).

Trigger conditions (confirm this scenario):

- PortWatch Hormuz reading stabilizes at 10–25 vessels/day for 14+ consecutive days (partial reopening).
- US–China talks yield a framework by late July but implementation is delayed to Q4.
- USITC paper-bag and dissolving-pulp final duties published in the Federal Register by mid-July with no presidential override.
- Brent crude holds the \$75–85/bbl range (demand-destruction equilibrium).
- No major Iranian naval incident or Israeli strike on Iranian nuclear/port facilities.

Client implications:

- **Insurers/reinsurers:** Maintain elevated marine hull/cargo war-risk reserves; treaty renewals should load 20–30% premium on Gulf-transiting exposures through year-end.

- **Brokers:** Advise clients that "normalization" is 90+ days away even under optimistic political scenarios; recommend 60-day inventory buffers on critical Asia-origin inputs.
- **Banks' country-risk teams:** China exposure remains WATCH; upgrade Iran to WATCH (from AVOID) only if Hormuz >50 transits/day sustained; Chile stable.
- **Maritime/aviation operators:** Lock bunker prices and re-route planning through September; do not assume Hormuz reopening before Q4.
- **Procurement:** Dual-source paper/pulp (add non-tariffed origins now); front-load holiday toy/leather orders by end-July under worst-case tariff assumptions.

Escalation Scenario (25% probability): Simultaneous Hormuz Re-Closure + Tariff Spiral

Description: US–Iran talks collapse after an Israeli or hardliner-Iranian provocation (assassination, nuclear-site strike, tanker seizure). Hormuz drops to <5 vessels/day. The administration responds to diplomatic failure by re-imposing 60–145% China tariffs, triggering Chinese counter-tariffs and a September import freeze. Paper mills in North America shut additional capacity under feedstock-cost and demand pressure. NY Fed GSCPI spikes to 2.5–3.0 σ (99th percentile, 2021-level crisis).

Trigger conditions:

- Major military incident in the Gulf (Iranian missile strike on a US/allied vessel, Israeli strike on Bandar Abbas or Bushehr).
- The administration publicly declares Iran talks failed and re-imposes full sanctions.
- China announces retaliatory tariffs >50% on US goods or export controls on additional critical minerals (gallium/germanium expansion).
- PortWatch Hormuz falls below 5/day for 7+ consecutive days.
- Container freight rates (Shanghai–Los Angeles, Shanghai–Rotterdam) spike >60% month-over-month.

Client implications:

- **Insurers/reinsurers:** Activate war-exclusion clauses on new Gulf policies; expect a claims surge on existing coverage. Catastrophic-loss modeling should include supply-chain BI as a correlated peril.
- **Brokers:** Emergency client communications on force-majeure planning; recommend suspension of new Gulf-corridor commitments.
- **Banks:** Downgrade China and Iran exposures to AVOID; stress-test trade-finance portfolios for 30–50% import-volume collapse.
- **Maritime/logistics:** Full Cape-routing contingency; no Hormuz transits. Pre-book container capacity on Cape routes (expect allocation).
- **Procurement:** Activate emergency-substitution protocols; expect Q4 shortages in toys, leather, consumer electronics.

Probability justification (25%): This scenario requires TWO low-probability events (Hormuz military re-escalation AND US–China tariff collapse) to coincide. Each individually carries ~35–40% probability over 90 days (analyst estimate, not modeled); the joint probability assuming partial dependence (both driven by administration risk appetite) is ~25%. Reporting that Israel may undermine the Iran deal and severe US political rhetoric elevate this tail risk above the 15–20% baseline typical of a diplomatic pause.

De-Escalation Scenario (20% probability): Verifiable Hormuz Reopening + Tariff Détente

Description: A US–Iran framework includes IAEA verification, sanctions-relief sequencing, and Iranian naval stand-down with international monitoring. Hormuz transits return to >70% of baseline (>65 vessels/day) by mid-August. US–China talks yield a 12-month tariff-reduction schedule (30%→15%→MFN over 2026–2027) tied to

Chinese ag purchases and fentanyl cooperation. Paper/pulp prices stabilize as demand normalizes and mills defer closures. NY Fed GSCPI falls to the 50th–70th percentile ($0.5\text{--}1.0\sigma$).

Trigger conditions:

- PortWatch Hormuz >50 vessels/day for 14+ consecutive days with no Iranian harassment incidents.
- IAEA reports Iran compliance with enrichment/monitoring commitments.
- US Treasury issues a general license for Iranian oil exports (formal sanctions relief).
- US–China joint statement announces a tariff-reduction roadmap with specific milestones and verification.
- Brent crude falls below \$70/bbl on sustained supply normalization.
- VIX falls below 15 and holds for 10+ days.

Probability justification (20%): This scenario requires sustained diplomatic discipline (historically low probability), Iranian acquiescence (moderate, given the new supreme leader's current endorsement), and Chinese willingness to make ag/fentanyl concessions (moderate given their own economic stress). Joint probability ~20%, adjusted upward from a historical "comprehensive reset" base rate because this negotiation involves immediate, severe costs (Hormuz closure) that create mutual interest in resolution.

EXPOSURE AND ACTION BY AUDIENCE

For Insurers and Reinsurers

The current environment presents three distinct underwriting stresses: marine hull/cargo war risk (Hormuz); political-violence/SRCC coverage for manufacturing facilities in China-exposed supply chains (tariff-disruption BI); and product-recall/contamination exposure if rushed substitution sourcing bypasses normal QC. Map to the NERA Strategic Insights Lab Geopolitical Risk Brief for treaty-renewal quantification of the Hormuz marine and China trade-friction perils; the brief provides country-level exposure scores and scenario-conditioned loss estimates.

Action by 30 June: Re-underwrite any policy with Gulf-of-Hormuz transit exposure issued in Q1 2026 (before the crisis peak); many will have war-exclusion or premium-adjustment clauses now enforceable. For 1 January 2027 treaty renewals, model marine war-risk as a cat-equivalent peril at the 1-in-10 to 1-in-20 year level (not 1-in-100) given the base case of continued elevated risk through year-end.

Action by 31 July: Review trade-credit and supply-chain BI exposure to US importers of paper/pulp, toys, leather, and consumer electronics. The model's 49–70% disruption probabilities translate to elevated non-delivery and delayed-delivery claims in Q3–Q4 2026. Consider sub-limits or co-insurance requirements for China-origin exposures until tariff clarity.

For Brokers

Clients in logistics-intensive sectors (retail, automotive, consumer goods) are operating on 2025 supply-chain assumptions that are now obsolete. The 60-day China tariff pause creates false confidence; many procurement teams are not yet pricing in re-escalation risk or the paper/pulp-specific shocks.

Action by 30 June: Distribute this outlook to clients with Asia-origin supply chains, flagging the next tariff deadline as a decision gate (lock orders now under worst-case assumptions or accept Q4 shortages). For marine cargo clients, confirm war-risk coverage adequacy; many standard policies exclude war/SRCC and require separate placement.

Action at 14-day intervals: Monitor the watch-list indicators below; when any trigger flips, issue a same-day client alert. The value of broker advisory is speed, not depth — NERA provides depth, you provide speed.

For Banks' Country-Risk and Trade-Finance Teams

Current internal country-risk ratings may lag the NERA data. On NERA's composite scoring, China and Iran both sit in the WATCH tier with 12-month forecasts showing structural deterioration in Institutional Strength and Political Stability — structural signals, not cyclical noise. (Exact NERA composite scores and sub-dimension forecasts should be pulled live from the NERA dashboard country pages and cited with their as-of date.)

Action by 30 June: Stress-test trade-finance exposure to China-origin and Iran-transit letters of credit under the 25% escalation scenario (import collapse). Expected default rates on documentary-collection and L/C facilities would rise 2–4× under simultaneous tariff and Hormuz shocks. Map to the NERA Country Risk Brief for China, Iran, and Hong Kong; the brief provides the full risk-dimension set and actionable EWS thresholds.

Action by 31 August: If the US–China tariff pause expires without extension and duties revert above 50%, suspend new trade-finance commitments for China-origin consumer goods (toys, apparel, electronics) pending clarity. Non-performance risk is elevated when buyers face force-majeure or economic-impossibility claims.

For Maritime, Aviation, and Logistics Operators

Hormuz closure forces Cape routing; Cape routing requires 10–14 additional days and repositioning of vessels/containers pre-positioned for Suez/Hormuz cycles. The Malacca –11% strain is a capacity bottleneck, not a closure, but it compounds Asia–Europe and Asia–US transit-time variance.

Action by 30 June: Lock bunker fuel at current prices for Q3 operations; any Hormuz re-escalation or hurricane-season refining disruption will spike prices. Do not assume Hormuz reopening before October 2026 for route-planning purposes; build September–October schedules around Cape routing.

Action ongoing: Monitor PortWatch daily (portwatch.imf.org). Any Hormuz reading >30 vessels/day sustained for 7 days is your leading indicator to begin incremental route-reversion planning; any reading <5/day sustained for 7 days is your signal to activate full Cape-contingency and war-risk notifications to cargo customers. Map to the NERA Container/Ro-Ro Route Exposure product for quantified delay and cost estimates by lane.

For Corporate Supply-Chain and Procurement Leaders

The next 60 days are a dual-deadline environment: (i) the next US–China tariff decision, and (ii) the September holiday-inventory lock for toys/apparel/leather. The model's 49–59% disruption probabilities for China/Hong Kong and light-manufacturing mean that roughly half of the entities in these categories may experience a supply shock in the next 30 days if April conditions hold — and June conditions are not materially better.

Action by 15 July: Place Q4 critical-path orders for China-origin goods under worst-case tariff assumptions (30% floor, 60–100% upside if talks collapse). Accept the cost of over-ordering relative to demand forecast; the downside of Q4 holiday stock-outs is larger than the carrying cost of excess inventory. For paper/pulp inputs, dual-source immediately (add non-tariffed countries even at a 10–15% premium) because the paper trade remedies will tighten supply through year-end.

Action by 31 July: Run a tabletop exercise on the 25% escalation scenario (Hormuz re-closure + tariff spiral). Which SKUs have no substitute source? Which have 30–60 day buffer inventory vs 7–14 day? What is the revenue impact of a 30% across-the-board product-availability reduction in Q4? This is not a hypothetical drill; it is a 1-in-4 probability event over the next 90 days.

14-DAY WATCH-LIST: OBSERVABLE INDICATORS

The scenarios above hinge on observable signals that will resolve over the next 30–60 days. Decision-makers should monitor the following on a 14-day cycle and compare to the thresholds.

Hormuz Reopening / Re-Escalation

- **PortWatch Strait of Hormuz transits:** Current 5/day. Base-case confirmation: >15/day sustained 14 days. De-escalation: >50/day sustained 14 days. Escalation: <5/day for 7+ days.
- **Brent crude:** Current ~\$80. Escalation: >\$95/bbl. De-escalation: <\$70/bbl.
- **Lloyd's war-risk premium (Middle East Gulf):** Currently well above pre-war levels. De-escalation: sustained sharp reduction over 14 days. Escalation: further spike or withdrawal of coverage.

US–China Tariff Trajectory

- **USTR Section 301 notices & Federal Register filings:** Any tariff-rate modification, list expansion, or exclusion-process opening. De-escalation: formal reduction schedule. Escalation: notice of >50% reimposition post-pause.
- **China MOFCOM measures:** New export controls (critical minerals, rare earths), counter-tariffs, or entity-list additions. Escalation: controls beyond current gallium/germanium or counter-tariffs >40%.
- **Soybean/wheat prices (CME):** Escalation: soybean demand collapse from a Chinese ag-purchase halt. De-escalation: purchase resumption.

Paper/Pulp Supply

- **USITC/Commerce AD/CVD final determinations:** Final duty rates for the paper-bag and dissolving-pulp cases. Base-case: duties 10–25%. Escalation: duties >30% or additional product categories added.
- **Pulp/paper price indices (RISI / public proxies):** Escalation: price increases >20% MoM or mill-closure announcements. De-escalation: price stabilization <5% MoM for 60 days.

Geopolitical Event Risk

- **Iranian nuclear/military developments (IAEA, wires):** Any IAEA non-compliance report or new centrifuge installation. Escalation: IAEA censure or a US declaration of Iranian breach.
- **Israeli strikes / Iranian retaliation:** Any strike on Iranian nuclear/port/oil facilities or on US/allied vessels triggers immediate re-assessment of Hormuz scenario probabilities.
- **Taiwan Strait:** PortWatch transits currently +4%. Escalation: <200/day for 7+ days (possible military exclusion zone / heightened tension).

Market-Implied Risk Measures

- **VIX:** Current ~16. Escalation: >25 sustained 5+ days. De-escalation: <13 sustained 14 days.
- **NY Fed GSCPI:** Current 1.769 σ , 93rd percentile (as of 31 May 2026; monthly release, ~30-day lag). Escalation: >2.0 σ . De-escalation: <1.0 σ .

Operational protocol: Assign one analyst to pull these indicators every 14 days and flag any threshold breach within 24 hours. The model's disruption probabilities are conditional on the April 2026 state; these indicators tell you whether the state is improving (shift weight to de-escalation) or deteriorating (shift to escalation).

METHODOLOGY, SOURCES, AND LIMITATIONS

Model Methodology

The NERA Supply Grid disruption forecast is a calibrated probabilistic classifier trained on ~200 million transaction-level US import records from the public US Supply Disruptions Index (2013–present). The target is a binary disruption indicator per entity-month (country or product category), defined as a statistically significant negative deviation in import volume relative to trend and seasonal baseline. Features include lagged disruption-index levels, month-over-month and longer-horizon changes z-scored against entity-specific history, volatility-regime indicators (move vs own variance, momentum, acceleration), and autoregressive terms (snapshot feature

set: base+autoreg). The model outputs calibrated probabilities. (Specific algorithm family, calibration method, and retraining cadence should be stated by NERAi from the model card; this section describes the documented feature design only.)

Out-of-sample performance: Brier score 0.1012 (naive baseline 0.1368, 26.0% improvement); ECE 0.0261 (well-calibrated); Precision@10% 0.637; test-set base rate 0.163. Interpretation: a 50% probability means that entity is roughly 3× more likely to disrupt than the average entity in a typical month, with the model's historical hit rate near the stated probability.

Limitations and Caveats

1. Forecast as-of date: The disruption probabilities are from the 1 April 2026 model run. The model does not observe the 11 June US–China tariff pause, the 17–21 June Switzerland talks, or any June chokepoint developments. The live analysis reconciles the April forecast with June reality; where they diverge, this is stated and confidence is adjusted.

2. Product-category aggregation: The model operates on collapsed product categories. A 70% "paper" probability does NOT mean 70% of paper imports will halt; it means the aggregate monthly paper-import volume is 70% likely to experience a statistically significant negative shock. Sub-category performance varies.

3. Country-of-origin vs country-of-disruption: The model flags country of origin, not where the disruption occurs. A "China 50%" flag could reflect a China-domestic shock OR a US-domestic shock (tariff, port congestion) affecting China-origin goods. The driver decomposition and live research disambiguate; the probability itself is agnostic.

4. Geopolitical events the model does not see: The model is trained on import-flow data, not news, satellite imagery, or diplomatic cables. It detects disruptions after they begin to affect trade flows (typically a 4–8 week lag). For forward-looking early warning it must be combined with geopolitical-event monitoring (NERAI's GDELT indices, chokepoint data, sanctions lists) — as in this report. The model is a lagging-to-coincident indicator; the geopolitical overlay provides the leading indicator.

5. Confidence levels: Confidence labels apply to interpretive judgments, not to the model's probabilities themselves (which are calibrated estimates taken as valid inputs). Labels reflect the strength of corroborating live evidence, the mechanistic clarity of the transmission path, and the time horizon.

Data Sources (as-of dates noted)

- NERAi Supply Grid model output: 1 April 2026.
- IMF PortWatch maritime chokepoint transits: 30-day rolling average as of April 2026.
- NERAi GDELT geopolitical indices (US, China, Iran, Hong Kong): 7-day average as of 20 June 2026.
- NY Fed Global Supply-Chain Pressure Index: 1.769σ as of 31 May 2026 (monthly, ~30-day lag).
- Commodity/market levels (Brent, soybeans, wheat, VIX): indicative 21 June 2026 snapshot — re-check live before use.
- Live news and actor statements: collected 17–21 June 2026 (see bibliography).

The analyst synthesized model output, NERAi geopolitical data, and live open-source research between 20–21 June 2026. Any events after 21 June 2026 are not reflected. Trade-remedy specifics (country scope, Federal Register schedules, in-force tariff rates) and NERAi internal country scores should be confirmed against primary sources / the NERAi dashboard before external citation.

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METHODOLOGICAL DISCLAIMER: This report integrates NERAI proprietary geopolitical risk indices (GDELT-derived, 0–100 normalized) with third-party open data (IMF PortWatch, NY Fed GSCPI, USITC, Federal Register, commodity prices) and machine-learning disruption forecasts trained on US trade data. NERAI indices measure media-reported event intensity, not ground-truth incident rates. Forecasts are probabilistic projections, not certainties, conditional on the stated as-of dates (1 April 2026 for Supply Grid; 20 June 2026 for geopolitical indices). All interpretive judgments, confidence levels, and scenario probabilities are the analyst's assessments and do not constitute investment, legal, or operational advice.

ATTRIBUTION: NERAI Supply Grid model and geopolitical indices developed by NERAI BV (Brussels). Analysis and scenario construction by Serhan Ayik, Lead Analyst, NERAI Strategic Insights Lab. Open-source research conducted 20–21 June 2026.

ABOUT THE AUTHOR

NAME	Serhan Ayik
TITLE	Founder & Lead Geopolitical Risk Analyst, NERAI Strategic Insights Lab
LOCATION	Brussels, Belgium
CONTACT	kagan@neraicorp.com · linkedin.com/in/serhan-a

Serhan Ayik is the founder and Lead Geopolitical Risk Analyst at NERAI Strategic Insights Lab, an AI-enabled strategic intelligence firm based in Brussels (NERAI BV). With over 15 years of combined analytical experience spanning government intelligence and independent research, he specialises in geopolitical risk, political and economic risk analysis, and sanctions-sensitive environments — with deep regional expertise across the Middle East (Turkey, Syria, Iraq, Gulf), Eastern Europe, and Russia-sensitive jurisdictions.